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his many mosques quite literally glittered with gold. "The city is second to none either in Asia or in Europe," thought the Portuguese Jesuit, Fr Antonio Monserrate, "with regards either to size, population, or wealth. It is crowded with merchants, who foregather there from all over Asia."

It was, at least in terms of rapid growth, instant prosperity and unlimited opportunities, the Gurgaon of its day.

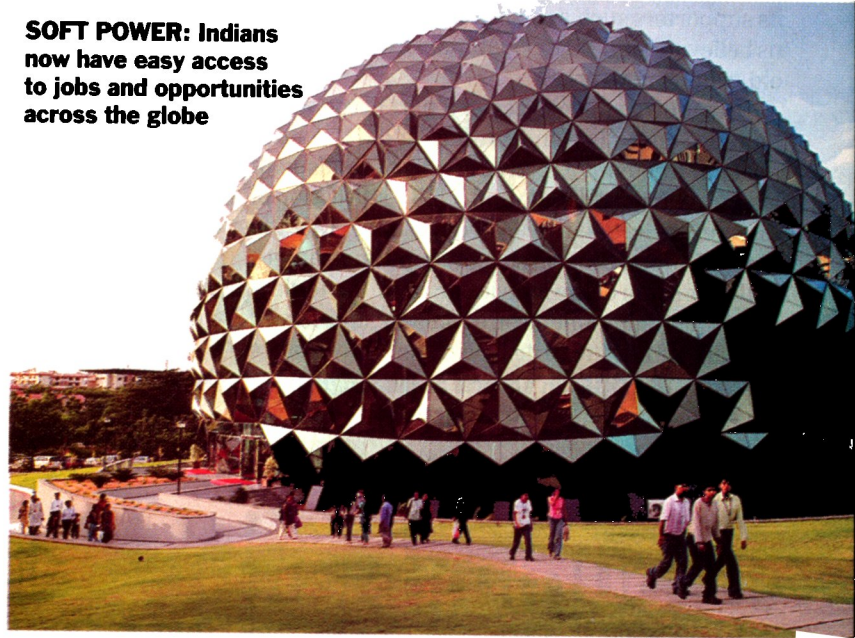
What changed all this was, quite simply, the advent of European colonialism. In 1498, the Portuguese discovered the sea route to the East. Only 12 years later, Afonso de Albuquerque, 'the Caesar of the East', arrived off the coast of Goa with a fleet. He massacred the Muslim defenders of the Fort, then carved out for himself a small crescent-shaped enclave clinging to the Western seaboard. Bypassing the Middle East, and conquering the centres of spice production in South Asia, European colonial traders slowly captured and destroyed the old trading network of the Arabian Sea. Before long, the Europeans were advancing out of their coastal forts and factories to take over and transform for their own benefits the economy of the interior.

The era of Indian economic decline had begun. Its most precipitous collapse took place in the 18th century in the region around the British headquarters in Calcutta. The British commander, Robert Clive, returned to Britain with the massive fortune of £300,000 making him one of the richest self-made individuals in Europe; after one single battle—Plassey—he transferred to the Company treasury no less than £2.5 million he had seized from that of the defeated Nawabs of Bengal.

The conquered province was left devastated by war and high taxation, and stricken by the famine of 1769. Its wealth rapidly drained into British bank accounts, while its prosperous weavers and artisans were coerced "like so many slaves" by their new British masters, and the markets flooded with British manufactures. As the 18th century historian Alexander Dow put it, before Plassey the, "balance of trade was against all nations in favour of Bengal... (it was) the sink where gold and silver disappeared without the least prospect of return... Bengal was one of the richest, most populous and best cultivated kingdoms in the world... We may date the commencement of decline from the day on which Bengal fell under the dominion of foreigners."

This was certainly the view of Adam Smith who wrote of his horror at the way the Company "oppressed and domineers" those who it traded with. It was also the view of Edmund Burke who impeached Warren Hastings, the East India's

SOFT POWER: Indians now have easy access to jobs and opportunities across the globe



India is famous for its trading opportunities and its pockets of great wealth, as well as the brilliance of its writers; for its growing political importance.

Governor General, charging him with oppression, corruption, gross abuse of power, and the ruthless plundering of India.

Hastings was in many ways the wrong target for Burke's Parliamentary offensive—Clive would have been a much better choice—and partly because of this, after a trial lasting nearly 10 years, he was eventually acquitted on all charges. But it is well worth remembering the damage that the Company undoubtedly did to the flourishing economy of India as the 60th anniversary of Indian Independence dawns amid so much excitement at India's rise towards superpower status.

Today, academics, historians and economists are fiercely divided between those who believe European colonial rule brought benefits to India, and those who believe Britain put India into irreversible political and economic decline.

Given the complex and emotive issues involved, it is hardly surprising that there is little neutral territory in this politically super-charged debate: did Western mercantile-imperialism bring high capitalism and free trade to India, as